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To cite this article: Olga Kaganova & Ritu Nayyar-Stone (2000) Municipal Real Property Asset Management: An Overview of World Experience, Trends and Financial Implications, Journal of Real Estate Portfolio Management, 6:4, 307-326, DOI: [10.1080/10835547.2000.12089624](https://doi.org/10.1080/10835547.2000.12089624)

To link to this article: <https://doi.org/10.1080/10835547.2000.12089624>



Published online: 18 Jun 2020.



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Municipal Real Property Asset Management: An Overview of World Experience, Trends and Financial Implications

Executive Summary. *In nearly all countries, municipalities own or control substantial amounts of real estate, but few municipal governments think of their holdings as a “portfolio” whose composition might be modified to better serve public purposes. This study is based on research conducted for the World Bank, and discusses the conceptual evolution in this area during the last twenty to twenty-five years. It outlines a core set of features that are an integral part of an efficient and accountable asset management system, and also provides an in-dept analysis of asset management issues in countries in transition, where municipal governments often are the largest property owners.*

by Olga Kaganova*
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Introduction

This study is about municipal governments as owners and managers of real property. In nearly all countries, municipalities own or control substantial amounts of real estate, including for example, public buildings, schools and hospitals, and housing for municipal residents. Some even own all land within municipal boundaries. Although municipal governments generally attend—with greater or less experience—to the day-to-day operational needs of their real estate holdings, few such governments think of their holdings as a “portfolio” whose composition might be modified to better serve public purposes. Nor does the typical municipality routinely review if the current use of individual properties is appropriate from the perspective of opportunity cost, mode of management and finance, or match its long-term needs for property for its own use and as investment.

Municipalities have also ignored the importance of the municipal balance sheet in making decisions about municipal assets. This is especially true in developing and re-structuring countries. The balance sheet identifies all of a municipality’s assets and liabilities that have financial value. Municipalities have the same accounting equation as in the private sector:

$$\text{Assets} = \text{Liabilities} + \text{Equity}. \quad (1)$$

The equation can be re-arranged to emphasize the idea that shareholder (citizen-taxpayer) equity is

This article is the winner of the Asset/Property Management manuscript prize (sponsored by BOMA International) presented at the 2000 American Real Estate Society Annual Meeting.

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equal to the excess of assets over liabilities (Gauthier, 1997):

$$\text{Citizen/Taxpayer Equity} = \text{Assets} - \text{Liabilities.} \quad (2)$$

Understanding the municipal balance sheet is important to municipal finance analysis because (Peterson, 1999):

- The assets (and liabilities) of municipalities in developing and transitional countries often are very large compared to their annual budget revenues or expenditures. Often, a municipality may have only a vague idea of the economic value of some of the most important assets it owns, or may have no clear conception even of the “things” that it owns. Municipalities frequently are startled to find the magnitude of the cash holdings they possess, once a thorough accounting of the cash on hand is taken into account. Local governments often have even less awareness of their liabilities.
- Municipalities usually have much more freedom of choice over their handling of municipal assets and liabilities than they do of municipal revenues. While central governments in developing countries often impose rigorous limitations on the right of local governments to establish their own taxes, set their own tax rates or borrow from the credit market, they rarely place any limitations on the rights of local governments to own, operate, acquire or dispose of discretionary assets not critical to public service delivery.
- For many of the financial choices that municipalities must make in developing or transitional countries, a more useful instrument of analysis is the municipal balance sheet. A municipality that reconsiders its appropriate mix of asset ownership, in light of its service priorities and its mission, may decide to sell off some of the housing stock or municipal enterprises that it owns, in order to reinvest the sale proceeds in assets (like the public water or wastewater system) that are more critical to its mission. It is possible to consider this choice within a budgetary framework, but it seems more natural and useful to analyze it as a portfolio choice. Decisions about municipal borrowing likewise often need to be made in the context of the balance sheet. In countries other than the United States, including some countries in Western Europe, the equivalent of general obligation borrowing is balance sheet borrowing where municipal debt is secured by all of the assets owned by a municipality.

The purpose of this study is to review the current status of municipal real property asset management internationally. It is based on a study that was conducted for the World Bank in 1999 (Kaganova, Nayyar-Stone, Merrill and Peterson, 1999).¹ First, this study outlines the conceptual evolution regarding public asset management and defines the subject area. Then it discusses major activities of municipal real property asset management. Then the framework for municipal real property asset management, which is applicable to other countries and generalizes American best cases and the corporate prototype, is outlined. The transferability of this prototype to the municipal arena was initially realized and tried at a few American local governments (Utter, 1989; and Los Angeles County Citizen’s Economy and Efficiency Commission, 1991, 1995), and later discussed more systematically in the research literature (Simons, 1993).

This study also reviews and illustrates realities of municipal property asset management across the world. In particular, it demonstrates the magnitude of international variations in key characteristics related to urban public real property (beginning from basic variations in the size of public property holdings), and outlines the most common issues of municipal asset management. Finally, we provide a specially detailed analysis of the situation for countries in transition, where municipal governments are major holders of urban real property.

Review of Trends and Approaches

Conceptual Evolution Regarding Public Real Property

Three developments have had a major impact on contemporary approaches to public asset management during the last twenty to twenty-five years. These include: (1) the shift away from public ownership of real property; (2) increased recognition of public real estate as a productive asset; and (3) the adoption of private sector practices.

Public vs. Private Ownership of Urban Real Estate. Evidence gathered during the last ten to fifteen years has documented that governments are not

efficient land and property owners and/or managers. This was especially well demonstrated by the following studies in developing and transitional countries. In developing countries, governmental ownership of land often results in huge amounts of illegal construction (up to 75% of urban areas may be covered by such settlements), shortages of buildable areas, overcrowding of existing housing, under-utilization of buildable sites in prime locations, etc. (Kombe, 1994; and Garba, 1997). In countries in transition, major shortfalls of public ownership of land and real estate are: (1) continuing allocation of construction sites in locations that do not satisfy the effective demand for end-users of real estate (Jaffee and Kaganova, 1996); and (2) an extremely inefficient use of surplus property, resulting in under-utilization of the revenue potential of these assets (Kaganova, 1999). International donors and intergovernmental organizations have begun to acknowledge these realities. As a result, two common recommendations to these countries is to do the following: (1) privatize real property (Bertaud and Renaud, 1997; and Buckley, Hamilton and Kaganova, 2000); and (2) change the government's role from a "provider" or "supplier" of real property for end-users (such as families and business tenants of real estate) to a "partner" with the private sector for provision of these goods, and to an "enabler" of the private sector (Angel, 1999).

This shift in the ideology of international organizations is an achievement of the last ten to twelve years, and sharply differs from the vision of the late seventies when, for example, Habitat (in 1976) recommended public land ownership for areas of rapid urbanization in developing countries. However, the currently recommended shift of governments from providers to partners and finally to enablers is a long process, and many countries are in various stages of this movement. Thus, for many Asian and African countries where only public land ownership is legal, a progressive approach, advocated by experts, is to reduce the public sector role in overall land development and construction and allow the private sector to play a bigger role in this process (Dowall and Clarke, 1996). In other words, certain public-private partnerships may be

a step forward in such countries, because land privatization and the establishment of an enablers' role for government are still not feasible in the short run.² For countries in transition, the shift to the enabler role is more realistic, and many of these countries have been indeed undertaking massive property privatization and restitution.³

Finally, many local governments in developed and transitional countries have been under financial pressure due to increasing responsibilities and decreasing subsidies from higher levels of government, and have recognized that surplus public real property might be a source of additional direct and in kind revenues. As a part of this trend, in the U.S. and Canada alone, more than a thousand downtown areas participated in public-private projects of land redevelopment in the late 1990s (Segal, 1998). For countries in transition, the potential revenues make local governments reluctant to privatize surplus municipal property.

Public Real Estate as a Public Good vs. a Productive Asset. Until the 1980s, public real estate was commonly treated as a public good. No systematic consideration of the efficiency of real estate use or financial performance of public property took place. Only the capital costs of new public projects were an issue.

A new vision took hold in the early 1980s that treated public real estate as an asset producing a mix of both measurable and difficult to measure returns (including social benefits), rather than a public good (Wheeler, 1993). At about the same time, this approach appeared at the local level in some cities in the U.S. and as a central government policy in New Zealand. In the U.S., Denver, Colorado and San Diego, California were among the first cities to implement this concept.

In the U.S., this new vision emerged when many local governments faced budget shortfalls due to the recession and a reduction of federal subsidies. Cities adopted a number of approaches that treated public real estate as a productive asset or, at least, not as a cost-neutral asset. Thus, some cities tried to capitalize on public property location and value to generate cash income for the community. Other cities arranged direct private

sector financing of urban infrastructure construction in exchange for public land use rights for commercial development. Some cities began managing government-owned (and used) properties more efficiently, and disposed of surplus property to ease budget shortfalls. Real estate professionals, involved in local politics, also played a role in promoting the idea that public real estate has some fundamental similarities with private real estate, and in particular, that it should be viewed as a productive asset.

The vision of public real estate as a productive asset had serious implications for public sector accounting. In particular, acknowledgement of the importance of public capital assets for the overall financial health of governments, coupled with the idea of making public authorities accountable, resulted in a growing tendency to introduce accrual accounting for local governments. In accrual accounting for governments, financial statements⁴ should usually report all assets, liabilities, revenues, expenses, gains and losses. For capital assets, accrual accounting shows asset values and related debt. In the English language world, this approach to public assets was first legislated in New Zealand and the U.K. in 1986 to 1989, respectively. The Governmental Accounting Standards Board in the U.S. introduced accrual accounting standards for local governments in 1999, and the Canadian Institute of Chartered Accountants is studying this matter. However, which public capital assets should be included in financial reports is still under debate. For example, should ocean areas in a government's jurisdiction be included or should they be disclosed by a note only?

However, the introduction of accrual accounting in the public sector does not guarantee more efficient asset management of public real estate, and recognizing this is very important, especially for transitional and developing countries. The usefulness of accounting-oriented standards of property valuation for asset management purposes is questionable, since book values are usually very different from the market values that are needed for efficient asset management.⁵

Corporate Real Property Asset Management as a Prototype for Municipal Asset Management. Some researchers emphasize, and we agree, that the

public sector should adopt the approaches and asset management techniques of private non-real estate corporations⁶ (Simons, 1993). This philosophy is behind most best practice cases in public real property asset management. Why does this work well? First, there are some strong similarities between the two groups, rooted in the fact that real estate plays a very similar role in their operations. These similarities are:

- Real estate is not the main business of the public sector nor of the private non-real estate corporations. However, it makes up a substantial part of their assets [estimated as over 50% and 20%, respectively in the U.S. (Utter, 1989)].
- Their real property portfolios include two components: real estate for use by the “main business” and surplus property.
- They share a long history of overlooking the market value of real property assets (at least, in the U.S.), because bookkeeping (accounting) values have been very different from market values.
- Their decisions about real estate are not made by real estate professionals.

The second reason for the appeal of corporate real property asset management methodologies is that they have a very pragmatic nature and their application results in an increased financial efficiency of local governments.

The literature review shows that there is some trend of municipalities managing their properties from a portfolio perspective—more often in countries where the private sector also manages its real property in this manner. In many cases, this happens simply because real estate professionals from the private sector are working or consulting for the municipal sector. At least, this is the case in many instances when a portfolio approach has been used in U.S. cities. Thus, in general, in developed countries, the private sector is a clear champion for implementing portfolio techniques in the public sector. However, in some transition countries, the public sector has been the first to take on this activity, due to the transfer of world best practices via technical assistance provided by donor agencies.⁷

Finally, it is important to understand the difference between two trends for improving local government asset management—central government

initiated (New Zealand, Australia, the U.K.), and local government initiated (some cities in the U.S.). In brief, the first one is accounting oriented, and the latter one is property oriented.

Defining Public Real Property Asset Management

The meaning of the term “asset management,” when it refers to public real property or public management, varies substantially in the literature depending on the country and the institutional and professional viewpoint of the author. Although most publications do not define the term or its interpretation, a definition may be derived from the material presented in them. One approach for analyzing public real property asset management is to compare it with private sector real estate asset management (at non-real estate corporations). Using the private sector experience as a source of ideas and techniques for public property asset management has been a core of best practices since the early 1980s.

The Private Sector. In the private sector, corporate real property asset management is the decision-making process about acquiring, holding and disposing of real property, which may be held for a company’s use or as an investment. In many cases, asset management is included in core corporate business activities, supported by rapidly developing methodologies and advanced financial techniques.

The goals of real property asset management in the private sector are well articulated. Thus, when a company owns and uses real estate for its non-real estate business, the goal is to maximize corporate value (or profits). When real estate is used as an investment, the goal is to optimize returns on investment by considering various combinations of risk, return and liquidity.

Real property asset management consists of three functions, where the first two are prerequisites for the third.

1. **Inventory.** Maintaining records of all properties owned by a company or managed by a portfolio manager. There are no common standards

for inventory records, but in general, they are focused on the physical and legal characteristics of each property.

2. **Property Management/Accounting.** For each property separately, tracking all information about its tenants, occupancy, expenses and revenues (the latter if the property is income generating). Accounting also tracks each property’s value, depreciation and debt obligations.
3. **Asset Management** (strategy concerning property holdings). Asset management deals with evaluating the financial performance of each property in the context of the whole portfolio. It provides a rationale for acquiring, holding, or disposing of individual properties, considering both financial characteristics of each property and optimal portfolio composition.

The Public Sector. Real estate asset management in the public sector includes the same acquisition, holding and disposition activities as in the private sector. But in addition to this, the literature often includes two other activities: allocation of public land for development and public participation in land development. In the context of publicly owned real property, the terms “disposition” and “allocation to private users” may overlap, but generally have different connotations. “Disposition” usually implies that ownership of property is transferred from the public to the private sector. Sometimes this term also includes transfers of property for long-term leasehold. The term “allocation” is usually applied to situations where urban land, owned by a government entity, is allocated for development in a more directive (vs. market) manner, in particular, without competitive procedures and without transferring ownership rights.

There are not many discussions in the literature about the goals of public real property asset management, but they generally can be classified as traditional/non-traditional. The traditional goal is supplying the right amount of property for public goods and services at the least cost compared with all the feasible alternative arrangements including private sector provision (Wheeler, 1993). The most often cited non-traditional goals are supporting local economic development and obtaining governmental revenues from alternative sources. Usual property types, as they appear in the literature,

Exhibit 1

Modern Ways of Real Property Acquisition, Holding and Disposition by Local Governments

Typical Mechanisms	Examples	Comments on Peculiarities and Limitations
Panel A: Acquisition, Recurrent Mechanisms		
Purchase from private parties	Most developed countries	As a rule, a purchase should be approved by some local controlling body, such as a city council.
Exchange with other public agencies	Most developed countries	As a rule, an exchange should be approved by some local controlling body. Some requirements may exist on value equality of exchanged properties.
Tax foreclosure	U.S., Canada, Japan, Russia	In countries, where this mechanism is imposed, foreclosed properties are sold through open procedures. In some of these countries, tax-foreclosed properties are handled by central agencies. In some other countries a tax debt becomes a lien on the property.
Mandatory dedication of a part of newly subdivided private land for public use	U.S., Germany	This mechanism is a part of the urban planning/land use control system; norms and procedures are usually described in relevant regulations, often local.
Eminent domain or expropriation	Most counties have at least one of these two forms	The difference between eminent domain and expropriation is that eminent domain implies a fair compensation, and expropriation does not. Most developed countries do not expropriate.
Panel A: Acquisition, One-time Mechanisms		
Nationalization of land	Kenya (1978)	Nationalization of urban land was recommended by Habitat in 1976 for managing urban growth in developing countries.
Transfer from higher levels of government	Countries in transition	Three models have been implemented: (1) Local governments obtained all real property that is not needed by the higher governments and not restituted or privatized (Hungary, Poland, Czech Republic); (2) Local governments obtain only property needed for functions/services shifted under their responsibility (Macedonia); and (3) A mixed model, where surplus real property is divided between various levels of government on a less clear basis, sometimes case-by-case (Bulgaria, Kyrgyzstan, Romania, Russia).
Panel B: Holding		
Own use by governmental departments and agencies	Worldwide	As a rule, in-house management; some management functions (security, cleaning) may be outsourced to private sector.
Lease to the private sector	Worldwide	Usually used for surplus property.
Concession to the private sector	Worldwide	Often used for urban utility services.

Exhibit 1 (continued)

Modern Ways of Real Property Acquisition, Holding and Disposition by Local Governments

Panel B: Holding

Property is owned and used, including for revenue generating and development, by semi-independent governmental or public agencies	U.S., The Netherlands, Sweden	Agencies such as Port Authorities, Redevelopment Agencies, Housing Authorities, etc. These agencies are responsible for property management. Usually, local governments do not own this property. In some cases, this property originates from local government property, in some cases it is acquired through other channels.
Use, including for revenue generating, by municipal enterprises	Bulgaria, Kyrgyzstan, Russia	This form is specific for some countries in transition, where law allows local governments to create municipal enterprises for various purposes, including commercial. Such enterprises may be (e.g., in Russia) or may not be (e.g., in Bulgaria) separate legal entities. Property allocated to these enterprises is owned by the government, but may be shown on either municipal or enterprise balance sheets. The enterprises are responsible for property management.
Owned and used for various business purposes by corporatized enterprises owned, completely or partly, by local governments	New Zealand, Hungary, Bulgaria, Russia	This arrangement may include companies that provide urban services.
Used as a collateral for local government borrowing	Worldwide	In countries where local governments may dispose property and may borrow; may require a special vote at local Council (the U.S.). This form is not allowed regarding core public property ("public domain property") in countries where core and surplus property are distinguished legally (Bulgaria, Romania, Hungary and Mexico).

Panel C: Disposition

Sale and privatization to private parties	Worldwide	In countries where private ownership on property is allowed. In some countries, "sale" and "privatization" are synonyms. However, in some other countries (especially, countries in transition) sale and privatization differ by procedures and allowed use of proceeds. Some countries (Bulgaria, Romania, Hungary and Mexico) do not allow sales of core property ("public domain property"), needed for governmental functions and services; or, at least, the legislature or the juridical authority should approve such a disposal transaction.
Restitution	In countries where property was previously nationalized	Restitution cases also may result due to eminent domain takings.

are land, public housing, buildings for public use, and surplus real property. Surplus property is usually understood as property that is not needed for current governmental functions or public and social services provided by the government.⁸ Surplus property may have very mixed compositions and origins, and in a functional sense it usually includes two groups: (1) property used as investment; and (2) property without any purposeful use (usually remnants from various projects).

Major Activities

Acquisition / Holding / Disposition. There are several typical mechanisms for the acquisition, holding and disposition of local public property. Many of these mechanisms have peculiarities and limitations, caused by the public nature of property. A summary is presented in Exhibit 1.

An additional form of the acquisition/holding activity, typical among local governments in the U.S., is renting space from the private sector for use by governmental agencies. Rented real estate can easily make up more than 10% of the total area used by local governments. However, this type of property used by the local government is not the focus of this article.

Financial Implications of Acquisition, Holding and Disposition of Real Estate Assets

The acquisition, holding and disposition of real estate assets have implications for local governments' budgets, by impacting either their revenues or expenditures.⁹

Acquisition. Often, when land is acquired under a one-time mechanism (see Exhibit 1) and some of the recurrent mechanisms, local governments pay nothing, or well below the market value for land and therefore are not motivated to keep track of its market value or try to exploit its value. For example, in many transition countries of Central and Eastern Europe, land was transferred "free" from higher levels of government to local governments. As a result, many local governments have consequently privatized or sold these assets to the public

at a very low price without capitalizing on their value.

In order to pay for land acquired through eminent domain or market purchase, both developed and developing countries usually combine resources from their operating overhead, capital funding and annual budget. Issuing government bonds is also a common procedure for raising funds to compensate citizens for land and property acquisition.

In most developing countries, land is acquired independently by various government agencies according to their need—usually when it cannot be postponed any longer. This delay in acquiring land increases its purchase price thereby increasing the expenses of the local government to a greater extent. Techniques used by local governments to purchase land are as follows:

- **Tax expenditures.** This is the use of tax deferral, reduction or forgiveness to pay for part of a land purchase. The incentive of this technique, however, depends on effective tax collection, which is usually lacking in developing countries.
- **Equity financing.** This refers to offering equity securities to the landholder in exchange for the land, where the securities are backed by landholdings. For example, in the past, Hong Kong used a form of equity financing under which sellers of land to the government could opt for either cash or "Letter Bs" as a form of payment. The Letter Bs were securities that entitled the seller to an interest in other land owned by the government, and could be bought and sold in the securities market.
- **Governmental regulatory power.** In order to purchase a particular plot of land or property, the government can grant concessions from building and zoning codes to the landowner's other property holdings.
- **Direct sale of excess land.** This technique is used by governments throughout the world to finance acquisition of needed land parcels, for example, in Hong Kong, Pakistan, Mexico and the U.S. Toronto, Canada also financed most of the cost of its subway system through sale or lease of excess land it purchased along the subway right-of-way years before construction began. After the lines were built, leasing of adjacent lands brought significant revenue to the city.

Holding. As seen in Exhibit 1, land and property owned by local government can be used directly by government departments, government agencies

Exhibit 2

Framework for Public Real Property Asset Management

Inventory Component

Develop and maintain comprehensive records of properties owned by governmental agencies.

Property Management and Accounting Component

Develop and maintain a property management and accounting system on a property by property basis.

Include the value of each property in the accounting database, and include financial liens against each property.

Use the private sector property management approaches for improving public property management.

Asset (Portfolio) Management Component

Formulate a strategic role of real estate in attaining municipal goals. Develop a classification of property and apply it while conducting an inventory.

Develop and use class-specific financial tools and performance standards for each property.

Implement portfolio management approach within the real estate and public assets portfolio.

Develop and implement policies aimed at rationing property demands and consumption by governmental departments and social users.

Strategy Implementation Component

Establish a centralized real estate authority with overview or direct control over asset management.

Devise written policies and decision roles for acquisition/holding/disposition of assets.

Develop in-house real estate expertise.

Set up incentives for better asset management within the municipality.

and public enterprises, or be leased to the private sector. For assets directly used by the government, operating expenses are usually covered by an agency's overhead and/or annual appropriations. The direct revenue from these assets (if any) are usually lower than the expenses incurred on them. The same is true for assets used by public enterprises where operating expenses are usually covered by enterprise revenue and/or government subsidies. Only in the case of land and property leased to the private sector are expenditures on the assets usually covered by the lease revenue.

Disposition. Typical methods of disposition of real estate assets are the sale and privatization of surplus land and property to private parties, and restitution. Generally, the sale of surplus assets involves high monetary gain for the local government, while restitution involves no monetary gain. Some of the transition countries make a distinction between sale and privatization of public

real estate assets. For example, in Russia, "privatization" of land and property takes place as part of the privatization of an enterprise. The "sale" of land and property involves a direct sale to private individuals. In the case of Russian and Bulgarian privatization, revenues obtained by the local government due to privatization have to be shared with the higher levels of government.

The combined financial impact on local government revenues and expenditures due to dealings in acquisition, holding and disposition of public real estate assets are difficult to monitor. It is also difficult to quantify all the benefits received from various public real estate assets, because, in addition to direct monetary revenues or expenses, social benefits can arise from local governments being the providers of public goods and services. While it is theoretically possible to do a social cost-benefit analysis for each parcel of land and property, in reality this does not work as a practical accounting method. It is therefore important to examine local government asset management in a strategic context, as explained in the following section, and look at the efficient and cost-effective achievement of government missions and objectives.

Framework for Public Real Property Asset Management

This section presents a framework for managing public real property assets (see Exhibit 2) based on the literature review and the authors' consulting experience. It draws heavily from the Denver model and the corporate real estate asset management prototype. Although the framework is generally straightforward, it involves several conceptual and methodological issues that are still under debate.

Regarding inventories of public property, the following questions are the most debated. Why should government spend limited resources on inventorying properties that may represent public goods? Which properties should be recorded? For example, should a lake located in a city be recorded? Or take a more ordinary case, should streets be recorded? And finally, Why should taxpayers' money be spent on this?

Reasons that support inventorying are:

1. Inventorying of public assets helps to make local government accountable.
2. Properties should be classified, with priority given to those where a cost efficiency or revenue potential can be realized. From this point of view, inventorying streets may be left for a later stage.
3. The costs of inventorying are offset to some degree as efficient asset management improves the patterns of property-related spending and revenues. Standardization of inventory formats may help to reduce inventorying costs.

In many countries, public property must be registered by law (France, Germany and Switzerland). In some countries, such legislation has been passed but not yet implemented (Russia, Bulgaria and Kyrgyzstan). It is not clear whether this type of legal registration provides all of the information that is needed for asset management. In particular, for some countries in transition, there has been confusion and duplication of efforts in inventorying public property for various purposes.

In countries where public real estate may be among the assets of municipal enterprises, special attention should be devoted to: (1) making the inventory of these assets available to the municipal asset managers; and (2) making the formats for inventorying enterprise real property assets and municipal assets compatible.

Costs of developing and maintaining a property management and accounting system on the property by property basis will be offset through more efficient property use and strategic holding/disposition decisions.

Valuation of public property has been conceptually and methodologically the most challenging and debated topic associated with public asset management. Some key valuation problems are: (1) not all public properties have trade potential or private sector comparables; (2) many assets have a social worth that is difficult to quantify; (3) value of public property depends on classification and restrictions that may be imposed by public agencies, and

are not always known; (4) standards for valuing public property are difficult to introduce and support; (5) valuation is an expensive process, therefore the cost to taxpayers is also an issue.

Another set of concerns is related to the usefulness of accounting property values for asset management purposes. Thus, a standard approach for bookkeeping purposes is to calculate values as original cost less depreciation. More modern accounting systems may require periodic revaluation, including adjustment for inflation. However, from an asset management point of view, book values may have no relation to market values, which are needed for prudent decisions about the holding or disposing of property.¹⁰

Classification of public property based primarily on financial goals is key to efficient asset management. If needed, the classification may also take into consideration legal limitations on some types of property. Exhibit 3 presents a variation of the classification system adopted initially in Denver, which has been slightly modified for better compatibility with the “public/private domain” concept. This classification categorizes public real estate assets by their use—government, social and surplus—and assigns different financial goals to each class of asset. The classification is fairly generic and can be successfully used in various regions of the world.¹¹ Classification of properties may increase the efficiency of further collec-

Exhibit 3
Basic Classification of Local Public Property
(The Modified Denver Model)

Category	Real Estate Types	Financial Goals
Governmental use (mandatory functions)	City hall, police stations, local public hospitals, etc.	Maximize efficiency, minimize costs
Social use (discretionary functions)	Public housing, parks, etc.	Quantify and minimize subsidy
Surplus property	Investment property, remnants from various sources	Maximize financial returns

Note: Adapted from Utter (1989).

tion of inventory and accounting information, because different categories may require different information.

Government Use Assets. The financial goals of maximizing efficiency and minimizing the costs of assets used directly by the government can be achieved through:

1. Increasing the efficient use of facilities, by requiring governmental departments to justify their demand for space.
2. Minimizing operating costs.
3. Locating government offices and services in functional, not prime, areas. For example, fire stations should not be located in prime, expensive commercial streets.
4. Knowing the highest and best use of the asset and making cost-benefit analysis to achieve the above goal.¹²

Social Use Assets. The financial goal for the assets used for social purposes is to quantify and minimize the subsidy. For example, in the case of public housing, the difference between the market rent and the actual rent paid is the subsidy to the program. The term “social use assets” refers to property used to satisfy social objectives of the government and usually not utilized for its “highest and best use.” The asset management goal for social investments can be achieved by: (1) presenting actual expenses in order to facilitate the best decisions; and (2) generating program alternatives to reduce the subsidy as much as possible, while still accomplishing the mission.

The decision to subsidize is usually political and can change or other alternatives can be considered, if quantified information on the amount of subsidy is presented along with the program.

An example of minimizing the subsidy while still accomplishing the government mission is as follows. The Urbana Park District (PD) in Illinois owns parkland, which will be developed in the future. Since the land cannot be commercially developed, and is not farmable, the Urbana PD has leased the parkland at \$1/year to an archery club. This satisfies the mission of increasing the availability of recreational facilities for the citizens, but

involves a considerable subsidy. Instead of leasing the land at such a low rate, the PD could defer rent for an initial period and then request a percentage of the clubs revenues (obtained from fees/charges).

It is worth noting that Denver considers an asset used for economic development as an asset in social use. The city classifies this as a social investment, because some financial benefits to the city are foregone to support business development through, for example, tax abatement and free public land. The asset management view on economic development is to maximize the financial return on the government’s investment and still meet the social goal. It is important to first evaluate the financial impact of the proposal, so that the social benefit can be put into perspective. Therefore, instead of asking the question: “How can we get company XYZ to move to Denver?” the city reframes the question to: “If we invest \$100,000 to bring company XYZ to town we can generate \$10,000 a year. Is it worth to us, or do we want to renovate the theater instead?”

Surplus Property. These are properties not needed for city core functions or social programs. They are declared surplus and either held as income properties or sold. The asset management goal for these assets is to maximize the financial return on the assets (which requires the highest and best use of the property, if possible) and to control costs. This goal can be achieved by: (1) leasing property to generate recurrent revenues; (2) privatizing property to generate one-time revenues and then property taxes; and reducing maintenance costs and liability on the property if it cannot be leased or sold.

Some examples of this kind of property are fee parking lots, which can be leased, and small parcels of land owned by the city, which should be sold. Often, small parcels of land and parts of buildings only have value to the adjacent property owner.

This category of assets lends itself to easy quantitative evaluation of annual and long-term financial results, since the methods of financial analysis used in private real estate (for example, discounted cash flow analysis) are easily applicable.

A Review of Realities

General Current Practices and Problems

Multiple Portfolios, Managed Independently. A prevailing situation is that public real estate, in a given city, is owned and managed by different agencies and maybe even different levels of government—central, regional and local. Furthermore, even within a local government, various departments usually control different properties. In addition, various local special-purpose governments and/or other public agencies (such as various transportation authorities, specialized districts or redevelopment agencies) may also own some property. Finally, in some countries, property is owned or otherwise controlled by enterprises, which are fully or partly owned by local governments.

The divided ownership and control over public real estate creates a situation where local public property in one city is split into several portfolios, and these portfolios are managed quite independently. Even if some of them are managed strategically well, the overall result is suboptimal. Examples from Cleveland and Saskatoon, presented below, illustrate this.

Non-advanced Status of Municipal Real Property Asset Management. Except for a few countries and cities, municipal real property asset management is surprisingly non-advanced. Even basic steps, such as inventory, computerization, and tracking revenues, expenses and values of municipal properties are not complete in most cities. Exhibit 4 shows some basic characteristics of asset management by local governments in three developed countries: New Zealand, the U.K. and the U.S. The exhibit focuses on two components of asset management: recording and property management/accounting, and does not cover any of the more comprehensive elements of asset management.

Exhibit 4 demonstrates that even in New Zealand, which often is considered as a world leader in central government driven public asset management reform, 10% of municipalities still did not have inventory records of their assets as of 1995. In the U.S., only about 80% of the municipalities in the

Cleveland sample had at least partial inventory records.

Computerization of records and property management is a good indicator of whether a system is operated effectively. Exhibit 4 shows that about two-thirds of local governments in New Zealand and the U.K., and only about a quarter of the U.S. sample, had a computerized system for property management.

Income and expenses were tracked for each property in only 30% of the municipalities in the American sample. Valuation of properties was very fragmented in this sample. The situation with asset valuation in New Zealand and the U.K. looks better, however. The high percentage in the U.K. results partly from the fact that statutes there require only a part of public property to be valued.

In general, most cities do not maintain even basic data such as the size of public land holdings (Exhibit 5). The situation is surprisingly bad. There are no standard formats for measuring holdings, and basic inventory data do not exist in most cases. Thus, for Amsterdam and The Hague, who are both famous for heavy municipal involvement in land ownership, only estimates exist. Among 530 American cities surveyed recently, only three provided comprehensive data about public ownership of land. Even the City of Saskatoon, which is considered among the best practice models for land banking, was able to provide only estimates for municipally owned land.

It is clear from our attempts to collect data on municipal land holdings, that classification and inventory of urban land are done as a rule, from an urban planning point of view. Therefore, while it is often possible to learn which shares of a city area are used for various functions (housing, industries, agriculture, etc.), data on the amount of public land rarely exist.

Subsectoral Implementation of Real Property Asset Management at the Municipal Level. Municipal real property asset management often focuses on some narrow subsector of real estate, rather than on all local public property. To a certain extent, this results from multiple public agencies owning or controlling local public property.

Exhibit 4

Public Asset Management Examples

Asset Management Activity	New Zealand, Survey of All Local Authorities, 1995	U.K., Survey of all Local Authorities in England and Wales, 1995	U.S., Survey of 21 Municipalities in the Cleveland Area, 1992
Percentage of municipalities, which keep records of their assets	90	97	81 (some of these records are partial)
Percentage of municipalities that have computerized records/property management systems	65	66	26
Percentage of municipalities that track income and expenses on an individual property basis	N/A	N/A	30
Percentage of municipalities that value their assets regularly	68	91	N/A
Percentage of municipalities that know market value of their assets	N/A	N/A	30 (knew values of recent acquisition or development projects)

Notes: The data on New Zealand and the U.K. are from Bond and Dent (1996). The data on the U.S. are from Simons (1993). The surveys in the three countries had different formats, therefore some characteristics are not available for all countries.

For example, the literature indicates that Cleveland, Ohio's Land Reutilization program stands out as a model for effective management of tax-delinquent properties. The city aggressively seizes such properties, and gives the owners a short time to reclaim them. If not reclaimed, properties are land banked by the city and sold for the amount owed in back taxes or the market value (Bowman and Pagano, 1998). However, the city does not have a full-scale strategic asset management for municipal real property.

Another impressive example is the case of Saskatoon, Canada. The city has a well-established and internationally regarded land banking system, which deals with a special portion of vacant land in the city. In this specialized subsector, the city has most of the elements of asset management in place and operational. Thus, it maintains an inventory of land in the land bank, tracks expenses and revenues on a site-by-site basis, monitors values of sites, and evaluates returns on investment for each sold site (even though the land bank program is not aimed at maximizing financial returns). The program implements an acquisition/holding/disposition policy that is financially rational and sensitive to market conditions.¹³ However, the city does not engage in asset management for other municipally owned vacant land. For example, there are no current and centralized records of vacant land that has been acquired and

held for the specific needs of various municipal government departments. Data on municipally owned buildings also are not available. In general, the city does not recognize municipal real estate on its financial statements. The city estimates property values only for insured properties and it does not maintain operating expenses on a property-by-property basis.

Another common case of specialized asset management is municipal participation in public-private land development or redevelopment. Often, such projects are confined to specific parts of cities. Downtown locations are popular, especially in developed countries. Frequently, such projects involve specialized public authorities and require some level of asset management.

Shortage of Best Practice Cases. Little systematic data exist about cities that might serve as best practice cases. Based on studies initiated by the Urban Land Institute in the late 1980s, and later publications, the best-known cases in the U.S. are Denver, Colorado and Los Angeles County, California.¹⁴ Other cases include San Diego, California, Long Beach, California, and Atlanta, Georgia.

Even for New Zealand, we did not find quantitative data on the impact of top-down reforms on the efficiency of real property asset management at the municipal level.

Exhibit 5
Size of Public Land Holdings in Cities—Examples

City	Population (thousands)	Land in Public Ownership ^a	Vacant Land in Public Ownership ^{a,b}	Comments on Availability of Data
Amsterdam	712	80+	N/A	Estimates only (1992)
The Hague	576	77	N/A	Estimates only (1992)
Columbus, Ohio	565	N/A	3	One of three American cities (out of 530 cities) that provided complete land census data (1998)
Orlando, Florida	128	N/A	14	One of three American cities (out of 530 cities) that provided complete land census data (1998)
Saskatoon, Canada	207	26 ^d	N/A	The City Planning Department prepared data for this study
St. Petersburg, Russia	4,700	94	N/A	From a World Bank project for collecting real estate data (1998)
Taganrog, Russia	289	82	N/A	From a World Bank project for collecting real estate data (1998)
Kano Metropolitan, Nigeria	2,500–5,000 ^c	100	N/A	

Notes: Data extracted from Kaganova (1999), Bowman and Pagano (1998), Garba (1997), and a special data note on the City of Saskatoon (1999).

^aPercentage of the total city area.

^bThere is no commonly accepted definition of vacant land, however, the usual meaning is that it is (1) usable land (*i.e.*, excluding streets, rights of way, wetlands, etc.); and (2) unused or abandoned land, or land that supports derelict or ruined structures.

^cEstimated.

^dEstimates for municipal land only; includes built-up area.

Given that the best practice cases appeared and were publicized beginning in the 1980s, it seems surprising that, on average, awareness of the need for public asset management among local governments is still low. Expertise in this area has largely been in the hands of outside consultants, even in large cities in developed countries.

The Case of Countries in Transition

Local Governments are Largest Property Owners in Urban Areas. Countries in transition have been going through a rapid process of redistribution of property and decentralization of government. The major components of this process are devolution of property from the central to local governments, and property privatization and restitution. Moreover, in many countries, property devolution to local governments has outpaced further privatization and restitution, so municipal property holdings have been growing, and many local governments have become the largest real property owners in urban areas.

Holdings of Unmanageable Size, Including Surplus Property. The amount of non-residential property owned or controlled by local governments goes far beyond what is needed for public functions and services. Surplus property is often used as income-generating property by municipal governments. At the same time, there is a strong trend towards indirect ownership through the transferring of real property from municipalities to enterprises owned by local governments.

Exhibits 6 and 7 illustrate the municipal real estate situation in Hungary and some cities in Russia and Bulgaria. Exhibit 6 shows that property holdings of local governments in Hungary have been growing for all types of real estate, except housing. Surplus property makes up almost half of these holdings. Although it is not shown in the exhibit, about one-third of municipal real estate was transferred from municipalities to municipal enterprises from 1995 to 1997.

Exhibit 7 demonstrates that municipal holdings of property under both direct and indirect municipal

Exhibit 6
Real Estate Holdings of Hungarian
Local Governments

Selected Characteristics	1994 (or 1995)	1997
Total number of properties	734,800	818,465
Number of properties not assessed	603,476	632,929
Number of surplus properties as percentage of the total ^a	45.5	47.4
Building holdings		
Residential units	365,315	270,898
Non-residential parts of mixed-use buildings	69,137	72,681
Industrial buildings and structures	12,176	12,663
Commercial and administrative	9,494	10,758
Other (social and public services, health, education, culture, sport)	32,613	34,582
Land holdings (hectares)		
Vacant land	175,481	190,860
Parks	15,787	20,199

Notes: Data extracted from "Policy Note (Draft). Local Management in Hungary: Fiscal and Structural Adjustment at the Local Level in the Context of Economic Transformation," The World Bank, 1999.

^a"Marketable properties" in Hungarian legal terminology.

ownership (through transfers to enterprises) are huge in surveyed Russian and Bulgarian cities. For example, in 1997, St. Petersburg had about 50 million square feet of surplus property in commercial buildings, which it rented to the private sector through about 20,000 lease agreements. This is a very large operation, which would be typical of a regional or even national company in the U.S. Compared with the U.S. public sector property holdings, this volume of public property is also excessive. For example, Los Angeles County has twice the population of St. Petersburg, but its total real estate holdings (for governmental and public needs, and surplus) are equal to 88% of St. Petersburg's surplus property alone. The City of Ryazan, with a population of only 500,000, had about 1,000 buildings and parts of buildings shifted to enterprises.

Large Property Portfolios Allocated to Municipal Enterprises. The magnitude of the current shift of municipal surplus real estate to municipally controlled enterprises in countries in transition has no precedent in the history of public real estate within

market economies, and it is worthy of further analysis and attention. Perhaps, some analogy to this arrangement may be found in contemporary private investment real estate. Specifically, private investors in developed countries often own companies, which, in turn, own and manage property portfolios. This arrangement may have both positive and negative outcomes. On one hand, such consolidation of property holdings and management can reduce transaction costs and increase the efficiency of asset management. On the other hand, the complex nature of this arrangement makes it more difficult for property owners (investors) to monitor investment performance. For example, the investors must make sure that the company management reports all results about the investment performance of the property and that the management properly maintains the properties in the portfolio.

Low Efficiency of Revenue Generation from Surplus Property. Exhibits 7 and 8 show that the efficiency of revenue generation from municipal surplus property is very low. For real estate directly rented to private tenants, the average rent may be many times lower than private market rents. In addition, rent collection is low (in a sample of five Russian cities, the average collection rate was 72%). In some Russian cities, the rent collection rate is even lower than that of land property taxes. Municipal income from property allocated to enterprises also is low in many cases. Hypothetical scenarios, presented in Exhibits 7 and 8 show that even modest and realistic improvements in municipal asset management may result in substantial financial benefits for municipal budget—a revenue increase from 3% to 11% of total budget revenues.

Fiscal Disincentives for Further Privatization. Given the large and unmanageable size of municipal real property holdings, one might expect that local governments would be active in disposing of them. However, local authorities frequently oppose further property privatization. Officials usually believe that municipal property represents a potential source of local public wealth and income that will be lost if property is privatized right now. In their view, by divesting this property to the private sector, cities will lose one of the few sources of

Exhibit 7
Real Estate Holdings of Municipal Governments in Russia and Bulgaria—Illustrative Data
(as of January 1998)

Selected Characteristics	St. Petersburg, Russia	Ryazan, Russia	Dobrich, Bulgaria
Population (thousands)	4,700	534	114
Size of selected portfolios			
Surplus non-residential building stock, leased by the city to the private sector:			
Number of lease agreements	20,457	715	≥456
Total floor area under these leases (sq. ft.)	50,000,000 ^a	1,335,000	≥360,000
Non-residential building stock, allocated to municipal enterprises (consists mainly of surplus property; may include some central government-owned property):			
Number of buildings and parts of buildings	≥395	1,014	≥39
Total floor area in these premises (sq. ft.)	≥658,000	91,474,200	≥408,000
Efficiency of revenue generation from surplus property			
Average rent for municipal premises (USD/sq. ft./year)	N/A	0.9	0.3 ^a
Average rent for the private sector market in the downtown area (USD/sq. ft./year)	40	20	24
Role of rental revenues in the municipal budget			
Rental revenues from land and non-residential stock as a percentage of the total 1997 municipal budget	8.7	3.1	2.6
Increase of rental revenues from modest improvement of asset management for non-residential premises (percentage of the total 1997 municipal budget) ^b	N/A	3.2	11.5

Notes: Data from the Urban Institute project reports number 06768-000 and 06610-215 and authors' calculations based on the data from these reports.

^aApproximately.

^bThe budget increase is estimated for different scenarios in Russian and Bulgarian cities. For Russian cities, the increase results from renting 5% of the leased out non-residential stock for the average market rent, 10% for half of the average market rent, 50% for double the average municipal rent, and the rest (35%) for the average municipal rent. For Dobrich in Bulgaria, the increase resulted from the assumption that the premises of seven municipal enterprises were directly rented out for a minimum market rent.

fairly predictable revenue over which they have control (rents) and this will mean increased dependency on transfers from the central government. Local governments consider these transfers as unpredictable and unreliable. The fear of losing a source of local revenue by privatizing real estate is grounded in the fact that property taxation is highly centralized in most countries in transition, and municipal governments have little control over their revenues from land and property taxes. Therefore, local governments will not support the idea of disposing of their huge property portfolios until proper fiscal incentives are set up. The most straightforward way of introducing such incentives would be to decentralize the property tax.

Large Portfolios of Social and Core Service Properties with Negative Cash Flows. One of the results of property devolution to local governments is that

many municipalities currently own large portfolios of social or core service properties that generate negative cash flows to the owners. Public housing and utilities are the most common examples. In many countries, devolution of these assets was not accompanied by sufficient resources for counterbalancing the net expenses caused by these property types, and this contributes to the deficits of local budgets. Many of these assets also have estimated negative net worth, creating long-term solvency problems to local governments (Alm and Buckley, 1994).

Large Portfolios of Properties with Negative Residual Land Value. Many of the core and surplus properties owned by local governments are obsolete properties with negative residual land value. This means that the cost of redeveloping these properties under current market conditions is

more than the market value of the property after renovation. Therefore, private investors and developers will not undertake redevelopment—even if they obtain this property free—unless such projects are subsidized. The choice for local governments is to either subsidize redevelopment or face continued deterioration of these properties. Municipalities can either continue to own the properties and bear the maintenance costs, or dispose of the properties to the private sector and remove the maintenance expenses from local budgets. In the latter case, private sector actors might be willing to acquire these properties if they are privatized free and without timing requirements about renovation or redevelopment. In any event, most ex-socialist cities will face the same problem that cities in market economies have experienced for a long time: some urban areas are becoming derelict and will likely stay in this condition for years.

Underinvestment in Property Maintenance and Repair. There are no systematic data about operating expenses on municipal real property. However, there is a great deal of anecdotal evidence that—with the exception of a few countries—local governments have been substantially under investing in property maintenance. This means that portfolios of public property have experienced a high degree of physical depreciation. Currently, this problem is not visible for many properties, but if under investment continues, the effects of property depreciation will become visible soon.

Low Market Value of Surplus Property Due to Excessive Limitations on Property Use. The market value of municipal property when it is sold or rented to the private sector is often unnecessarily limited by excessive restrictions on its use, imposed by public agencies. This reduces both immediate municipal revenues and overall local wealth. One typical restriction is the requirement to keep a particular retail profile and/or a specified number of jobs for a specific time period, even if the business and the associated real estate are privatized (for example, a food store cannot be changed to another type of store or use). Agencies may also issue burdensome specifications regarding new developments or redevelopment sites. For example, urban planners may predetermine the

Exhibit 8

Case Study: The Efficiency of Surplus Property Use by a Municipal Enterprise in Dobrich, Bulgaria, 1997^a

General situation

During 1997, the corporatized enterprise *Dobrichinvest* was among seven enterprises in the city operating under the Commercial Law and with 100% municipal ownership. *Dobrichinvest's* business included various activities that were not clearly defined. Before registering under the Commercial Law, the enterprise was the largest state development and construction company in the city. The municipality and the management of *Dobrichinvest* have provided different numbers concerning real property that belonged to the enterprise in 1997. Information from both sources is summarized below.

The real estate portfolio, held by *Dobrichinvest*, included least:

A part of a downtown office building; 2,880 sq.m. of floor area.
Two office buildings in a new residential district; 1,340 sq.m.
A restaurant in a new residential district, 313 sq.m.
Land sites, the number and size of which were not available.
Balance sheet value of the total real estate portfolio was 135.6 million leva (about \$84,750).

Financial performance of *Dobrichinvest* and its evaluation

Financial results, shown by the company for 1997 were 30.9 million leva total revenues, and 30.7 million leva total expenses. According to regulations, the city received 28% of gross profit or 48,000 leva or \$30. The available data only allow us to estimate a one-year return on investment. This return, considered against balance value of the company's real estate, was 0.035%.

An alternative scenario

If the four commercial premises listed above were used as income properties and were rented for *minimum* market prices, they alone might generate about 613 million leva (\$393,750) of annual gross income. Assuming operating expenses four times higher than those reported by *Dobrichinvest*, the city still would have a net income of about 491 million leva (\$306,850). This would be about a 360% return against the balance value of assets and about 4% of the total municipal budget revenues in 1997.

Conclusion

Surplus municipal property generated very little revenue for the municipal budget, given the overall real estate market situation in the city, and the market potential of the properties.

Note

By early 1998, the city government undertook strong steps for improving the situation of *Dobrichinvest*. The management of the company was subjected to a prosecutor's investigation, and the company was merged with another municipal company, which had demonstrated better performance.

^aAdapted from the Urban Institute's project "Improving the Municipal Asset Management System in Dobrich," sponsored by USAID.

number of stores in a building or the functional use of the building.

Special case studies, conducted in Russia, demonstrated that even modest liberalization of urban

planning requirements might result in a dramatic increase of land values. For instance, in the City of Kazan, if developers are allowed to build at least a three-floor building on a site in the downtown—instead of two floors permitted by the Historic Preservation Department, which wished to reproduce the eighteenth century cityscape,—they would be able to pay the city \$10 per square foot more for the site.

Absence of Financial Resources for Initial Investment in Asset Management. Local governments often lack financial and human resources for the initial development of an asset management system. In particular, they typically do not have two important components: trained property managers and resources for developing a computerized property management and accounting system. At the same time, local governments often overlook gradual approaches, where improvements can be initiated with small-scale projects (one or two buildings or sites), and then are expanded later.

An Insufficient Legal and Regulatory Framework. An especially important problem is that local governments frequently do not have enough discretion in the area of real property asset management, and have trouble setting up proper incentives for property and asset managers. In other words, the legal and institutional framework for local government asset management is not sufficiently developed or permissive in many countries. This problem is typical for many countries in the world, not only for countries in transition.¹⁵ For example, in Bulgaria, the national law requires that a city's mayor signs each lease agreement on municipal property. Because Bulgarian cities may have hundreds or even thousands of municipal leases, mayors spend a remarkable amount of time for this function. Signing leases is a routine property management function that can easily be delegated to less senior municipal officers, who are in charge of real property asset management. A more flexible legal framework would stipulate that local city councils are in charge of establishing local property leasing procedures.

Another issue, also related to the regulatory framework for local asset management, is that in some countries the law does not define clearly local

public real property. For example, in Russia, there is still no law that clearly defines which public land in cities is owned by various levels of government. Albania and Kyrgyzstan have not passed any laws on public property. The Romanian and Macedonian juridical systems are overwhelmed by legal disputes between the central and local governments regarding property delineation.

Conclusion

1. There is a need for combining the balance sheet and asset management approaches to municipal property. From the balance sheet end, this may begin from the asset side of the balance sheet, and would emphasize value of assets for which market value estimates are feasible and legally relevant *i.e.*, real property that is legally available for disposition, the value of municipal enterprises that can be sold, the value of cash holdings and of shares traded on stock exchanges, and the value (corrected for bad debt estimates) of receivables. On the liability side, it would emphasize municipal debt and the value of guarantees for third party debt that is either actually in default or threatened with default.

An analysis of this kind will provide a good overview of municipal financial condition and of the balance sheet choices that the municipality faces. Of equal importance, the exercise of producing an inventory of this kind is likely to reveal assets and liabilities that municipal managers are unaware of.¹⁶

2. With the exception of a few cities and countries, public real property asset management practices across the world lag far behind contemporary methodologies and practices used by the private sector. Even in developed countries like the U.S., U.K. and New Zealand, the current practice of municipal asset management hinders financial analysis. In transition and developing countries, municipal asset management is non-existent or embryonic, and asset management decisions continue to be made in a non-strategic, ad-hoc manner.
3. There is, however, a global trend to use some key elements from private corporate real property asset management in local governments'

asset management. This trend is most evident in developed countries and in some cities in countries in transition. Furthermore, there is a good reason to expect that cities in many transition countries will be especially active in promoting this approach. This expectation is based on their specific circumstances: (1) an acute need to search for local sources of revenues; (2) a sufficient legal background for municipal asset management, which has been already set up by central governments; (3) very large portfolios of municipally-owned properties; and (4) some technical assistance, available through donor organizations.

4. There is a lack of sufficient background literature about the overall municipal real property asset management situation in developing countries (the legal background, size of municipal property holdings and status of municipal asset management). This is partly because donor-sponsored research on real estate asset management is new and has not yet resulted in studies and publications.
5. There is evidence that public real estate is one of the most underutilized local resources in many cities across the world. The opportunity cost of not managing public real estate strategically is large, and has implications for local budgets and services: overspending on property that is used for governmental functions, lost income from under utilizing surplus property and keeping it out of property tax rolls, and poor service delivery due to ineffective property use.
6. Property-related issues are ideologically sensitive in some countries. Thus, land privatization is still not feasible in many countries. This creates obstacles for transforming a governments' role from "provider" and "partner" into an economically more sound "enabler" role.

Property-related issues are politically sensitive practically everywhere. In particular, government decisions regarding public participation in public-private projects (which usually implies subsidizing them or sharing financial risks) are often political. If financial consequences of these decisions are evaluated and presented along with the program, these decisions can be prevented or changed.

7. Despite the high diversity of international approaches to local public real property, there is a

core set of features that are an integral part of any efficient and accountable governmental asset management system. These core features are: (1) classify property, based on functional purposes and financial goals; specify long-term strategy for each property class; (2) systematically inventory and record property; (3) justify real property demands of governmental agencies; (4) allow property management and accounting tracking for revenues and expenses for each property; monitor occupancy; (5) record property values and liens; (6) periodically evaluate financial performance of each property and the whole portfolios in each class, based on strategic criteria (such as cost efficiency, sufficient returns on investment, or accountable and controllable subsidies); and (7) use rational criteria and written rules for decision making regarding public property acquisition/holding/disposition.

8. Efficient real property asset management on the local level is not possible without an enabling legal and institutional framework, set up by the national government. In particular, for transitional and developing economies, the implementation of asset management should be proceeded by clarification of local governments' property rights and fiscal autonomy.

Endnotes

1. The study included the development of an extended bibliography, of which only a few key publications and sources are mentioned in this article.
2. Note that private ownership of land is still a highly debated topic.
3. Discussing ownership issues with local governments in countries in transition shows that economic arguments can be very convincing against ideological ones. If local officials and politicians are provided with examples, based on local data, about fiscal benefits that are realistically achievable through better asset management and privatization of local property, they often become more responsive to privatization ideas.
4. In American practice, the term "financial statement" is used for public and nonprofit sector accounting, while the term "balance sheet" is used for private sector accounting.
5. Debate about valuing public property is well presented by Bond and Dent (1996).
6. Non-real estate corporations are corporations that are engaged in any kind of business except real estate and own real property for their own use, and possibly some extra for investment.
7. For example, the Urban Institute has been assisting municipal governments in Armenia and Kyrgyzstan to implement the elements of the portfolio approach outlined in this

- article, as a part of their government decentralization reform.
8. Legislation of some countries makes a distinction between core and surplus property. For example, in Bulgaria, Romania, Hungary, Mexico and France core property (or "public domain" property) cannot be sold or used as collateral. Surplus property (alienable or "private" or "marketable" municipal property) can be sold or pledged. Clearly, these legal differences between core and surplus property have important asset management implications because they are directly related to the key activities.
 9. In addition to assets directly acquired, held and disposed of by local governments, there are usually privately owned land and property that are rented by municipalities and put to government use. These are not the assets of the local government, but have financial implications on the budget, and can be managed in a more cost efficient manner (discussed later).
 10. The valuation of properties in public portfolios should be prioritized—especially by governments with limited resources. For example, if property valuation is undertaken for asset management, it would be reasonable to begin by valuing properties with a strong revenue or cost-saving potential.
 11. One of the authors of this article has been assisting five cities in Kyrgyzstan and four cities in Armenia to conduct this classification.
 12. Governments' should also apply this financial goal to land and property that are not directly owned by them, but leased from the private sector. Consolidating offices, verifying the actual demand for space and leasing non-prime locations whenever possible, can lead to more cost efficient use of these leased properties.
 13. The sometimes controversial implications of land banking for the spatial development of the city are not discussed.
 14. However, Los Angeles County still has a lot to do for implementing a good strategic plan, which was developed long ago.
 15. For example, many cities in the U.S. are required by state law to follow slow and complex procedures to acquire and dispose of tax-delinquent properties. Some states are currently updating their laws in order to give municipal governments more flexibility in property acquisition and disposition. In particular, the Cleveland land banking program mentioned earlier, flourished, once the Ohio legislature revised the old regulations covering public property acquisition (Walker and Weinheimer, 1998).
 16. This conclusion item draws on Peterson (1999).

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